

consider: If the best business you own presents the least financial risk and has the most favorable long-term prospects, why would you put money into your 20th favorite business rather than add money to the top choices?

Now, consider how your theoretical portfolio, now broader than one stock, is doing. You can measure the economic progress of the businesses you own by calculating their look-through earnings, just as Buffett does. Multiply the earnings per share by the number of shares you own to calculate the total earnings power of your companies. The goal of the business owner, Buffett explains, is to create a portfolio of companies that, in 10 years, will produce the highest level of look-through earnings.

Because the growth of look-through earnings, not price changes, now becomes the highest priority in your portfolio, many things begin to change. First, you are less likely to sell your best businesses just because you have a profit. Ironically, corporate managers understand this when they focus on their own business operation. “A parent company,” Buffett explains, “that owns a subsidiary with superb long-term economics is not likely to sell that entity regardless of price.”¹⁴ A CEO wanting to increase the value of the business will not sell the company’s crown jewel. Yet this same CEO will impulsively sell stocks in his or her personal portfolio with little more logic than the idea that “you can’t go broke taking a profit.” “In our view,” Buffett explains, “what makes sense in business also makes sense in stocks: An investor should ordinarily hold a small piece of an outstanding business with the same tenacity that an owner would exhibit if he owned all of that business.”¹⁵

Now that you are managing a portfolio of businesses, not only will you avoid selling your best businesses, but you will also pick new businesses for purchase with much greater care. As the manager of a portfolio of businesses, you must resist the temptation to purchase a marginal company just because you have cash reserves. If the company does not pass your tenet screen, do not purchase it. Be patient and wait for the right business. It is wrong to assume that if you are not buying and selling, you are not making progress. In Buffett’s mind, it is too difficult to make hundreds of smart decisions in a lifetime. He would rather position his portfolio so he only has to make a few smart decisions.